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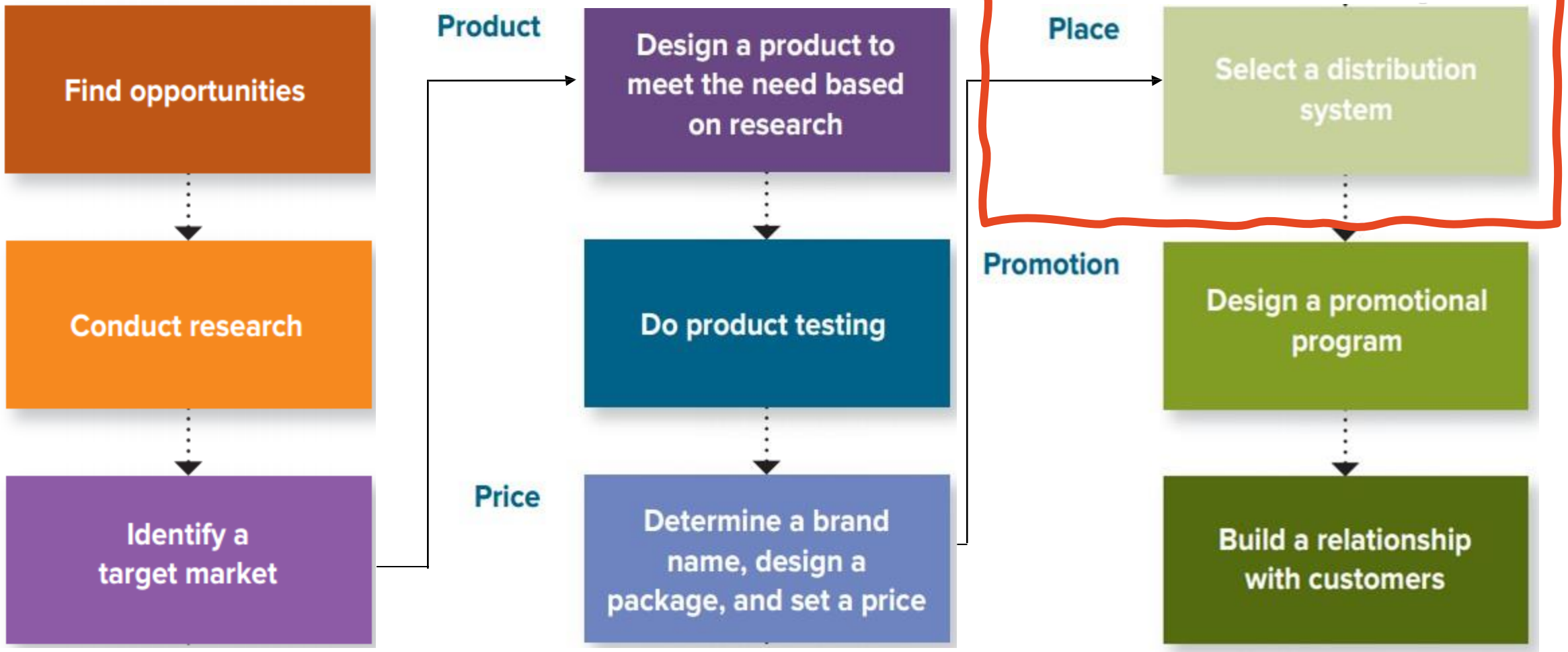
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09

Distributing Product



The Marketing Process With The Four Ps



Learning Objectives

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PART 1. Explain the concept of **marketing channels** and their value.

PART 2. Demonstrate how intermediaries perform the **six marketing utilities**.

PART 3. Identify the types of **wholesale** intermediaries in the distribution system.

PART 4. Compare the distribution strategies **retailers** use.

PART 5. Explain the various **kinds of nonstore retailing**.

PART 6. Explain the various ways to build cooperation in **channel systems**.

PART 7. Describe **logistics** and outline how intermediaries manage the transportation and storage of goods.

The Concept of Marketing Channels

- **Marketing Intermediaries (once called Middlemen)--** *Organizations that assist in moving goods and services from businesses to businesses (B2B) and from businesses to consumers (B2C).*
  - They are called intermediaries because they're in the middle of a series of firms that distribute goods.



- **Channel of Distribution --** *A group of marketing intermediaries that joining together to transport and store goods from producers to consumers.*

Types of Marketing Intermediaries



Agents/Broker

- *Intermediaries who bring buyers and sellers together and **assist in negotiating** an exchange but do not take title to the goods.*
- Example: real estate agent



Wholesaler

- *An intermediary that sells products to other organizations such as retailers, manufacturers, and hospitals.*



Retailer

- *An organization that sells products to ultimate customers.*
- Example: convenience store

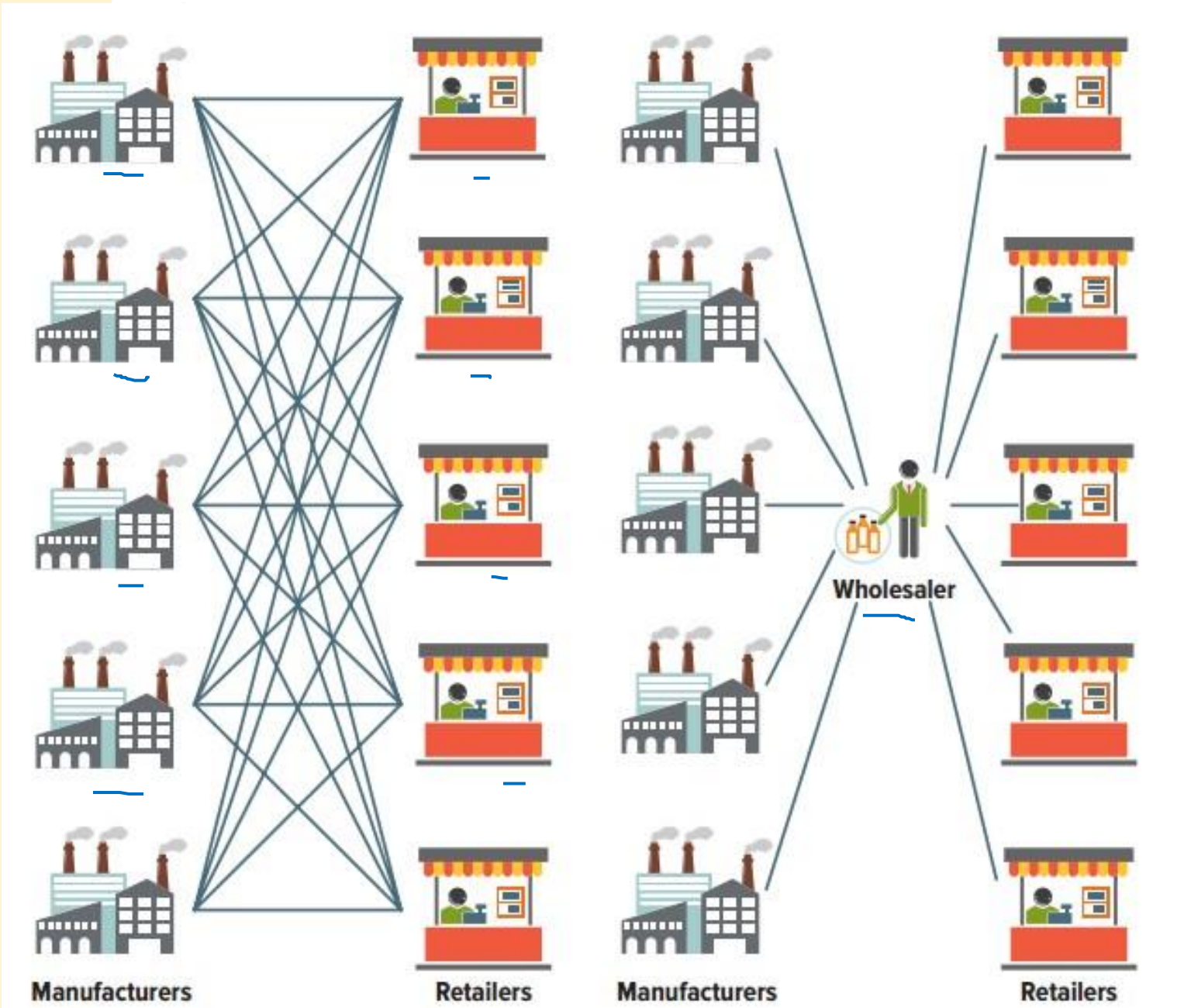
Why Marketing Needs Intermediaries?

- Marketing intermediaries make markets more efficient by **reducing transactions and contacts**.

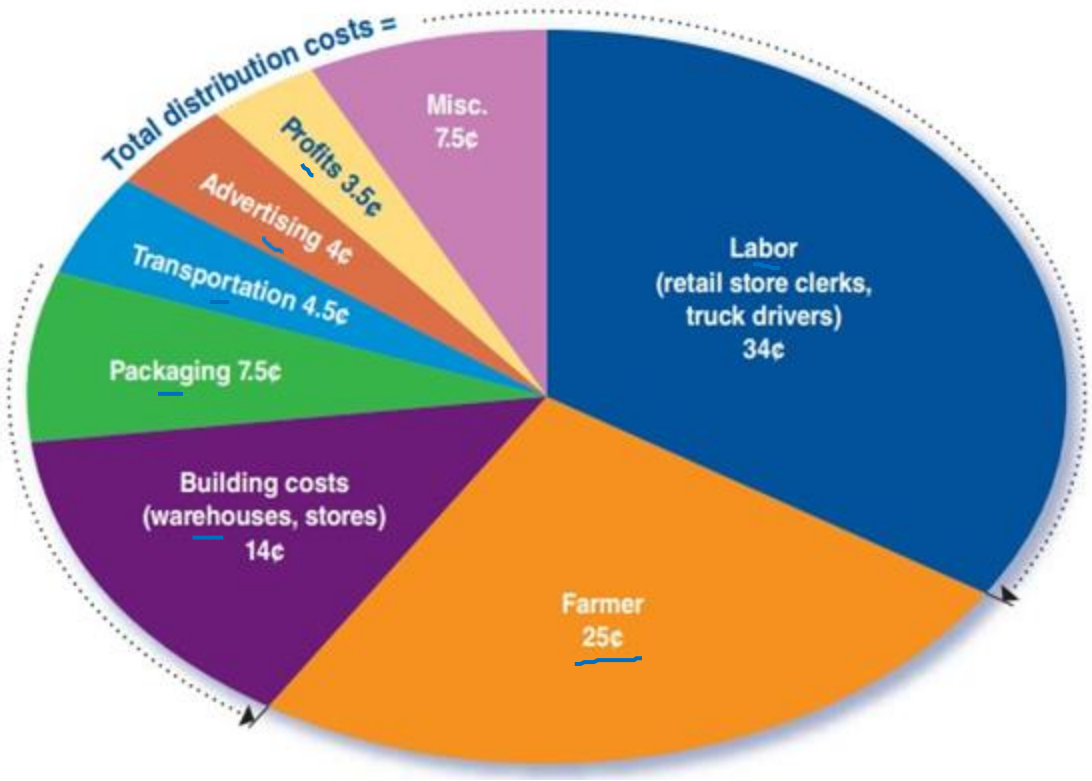
- Intermediaries perform marketing tasks **faster** and **cheaper** than most manufacturers could provide them.

You could personally deliver packages to people anywhere in the world, but usually you don't. Why not?

How Intermediaries Create Exchange Efficiency



The Value vs Cost of Intermediaries



We could buy a box of cereal for slightly less, but we'd have to drive farther and spend time in the warehouse looking through rows of cereals

DISTRIBUTION'S EFFECT ON YOUR FOOD DOLLAR : Note that the farmer gets only 25 cents of your food dollar. The bulk of your money goes to intermediaries to pay distribution costs. Their biggest cost is labor (truck drivers, clerks), followed by warehouses and storage.

THREE KEY FACTS ABOUT INTERMEDIARIES

1. Marketing intermediaries can be eliminated, but their **activities can't**;
2. Intermediaries perform **marketing functions** faster and cheaper than other organizations can
3. Marketing intermediaries add costs to products, but they are generally offset by the **values** they provide

How Intermediaries Create Utility

- **Utility --** *The want-satisfying ability, or value, that organizations add to goods and services by making them more **useful** or **accessible** to consumers.*

SIX FORM OF UTILITIES

Form
- *Changes raw materials into useful products; producers generally provide form utility.*

Time
- *Makes products available when customers want them.*

Place
- *Adds value to products by placing them where people want them.*

Possession
- *Helps transfer ownership from one party to another, including providing credit.*

Information
- *Opens two-way flows of information between marketing participants.*

Service
- *Provides service during and after a sale and teaches customers how to best use products.*

Wholesale Intermediaries

Merchant Wholesalers - *Independently owned firms that take title to the goods they handle. There are two types:*

- **Full Service :** perform all the distribution functions
- **Limited Function :** perform only selected functions, but try to do them especially well, there are three types:
  - **Rack Jobbers :** *Furnish racks or shelves of merchandise such as music and magazines for retailers for display and sell them on consignment.*
  - **Cash and Carry :** *Serve mostly smaller retailers with a limited assortment of products.*
  - **Drop Shippers :** *Take orders from retailers and other wholesalers and have the merchandise shipped from producer to buyer.*

Roles of Agents And Brokers

- Agents and brokers bring **buyers** and **sellers** together and **assist** in negotiating an exchange. However, unlike merchant wholesalers, agents and brokers never own the products.
- Agents generally maintain **long-term** relationships with the clients they represent.
  - *Manufacturer's agents* represent several manufacturers in a specific territory.
  - *Sales agents* represent a single client in a larger territory.
- Brokers usually represent clients on a **temporary** basis.



Retail Distribution Strategies

Intensive Distribution

Puts products into as many retail outlets as possible.

Selective Distribution

Uses only a preferred group of the available retailers in an area.

Exclusive Distribution

The use of only one retail outlet in a given geographic area.

Types of Non-store Retailing

- **Electronic Retailing --** *Selling goods and services to ultimate consumers online.*
- **Telemarketing --** *The sale of goods and services via the telephone*
- **Vending machines** dispense convenience goods when consumers deposit sufficient money.
- **Social Commerce —** A form of electronic commerce that involves using social media, online media that supports social interaction, and user contributions to assist in the online buying and selling of products.
- **Direct Selling --** *Selling goods and services to customers in their homes or workplaces.*
- **Multi Level marketing** uses salespeople who work as independent contractors.
- **Direct Marketing --** *Any activity that directly links manufacturers or intermediaries with ultimate customers*

Using Logistics

- **Logistics --** *The planning, implementing and controlling of the physical flow of material, final goods and related information from points of origin to points of consumption.*

- Firms outsource to others specializing in trade compliance to determine what is needed to market products to global customers.

Logistics Applications

Materials Handling

- *Movement of goods within a warehouse, from warehouse to the factory floor and from the factory floor to workstations.*

Inbound Logistics

- *Brings raw materials, packaging, other goods and services and information from suppliers to producers.*

Outbound Logistics

- *Manages the flow of finished products and information to business buyers and consumers.*

Reverse Logistics

- *Brings goods back to the manufacturer because of defects or for recycling.*

Comparing Transportation Modes

MODE	COST	SPEED	ON-TIME DEPENDABILITY	FLEXIBILITY HANDLING PRODUCTS	FREQUENCY OF SHIPMENTS	REACH
Railroads	Medium	Slow	Medium	High	Low	High
Trucks	High	Fast	High	Medium	High	Highest
Pipelines	Low	Medium	Highest	Lowest	Highest	Lowest
Ships (water)	Lowest	Slowest	Lowest	Highest	Lowest	Low
Airplanes	Highest	Fastest	Low	Low	Medium	Medium

Referensi

- Nickels, W. G., McHugh, J. M., & McHugh, S. M. (2018). Understanding business(12th edition). Boston: McGraw-Hill/Irwin

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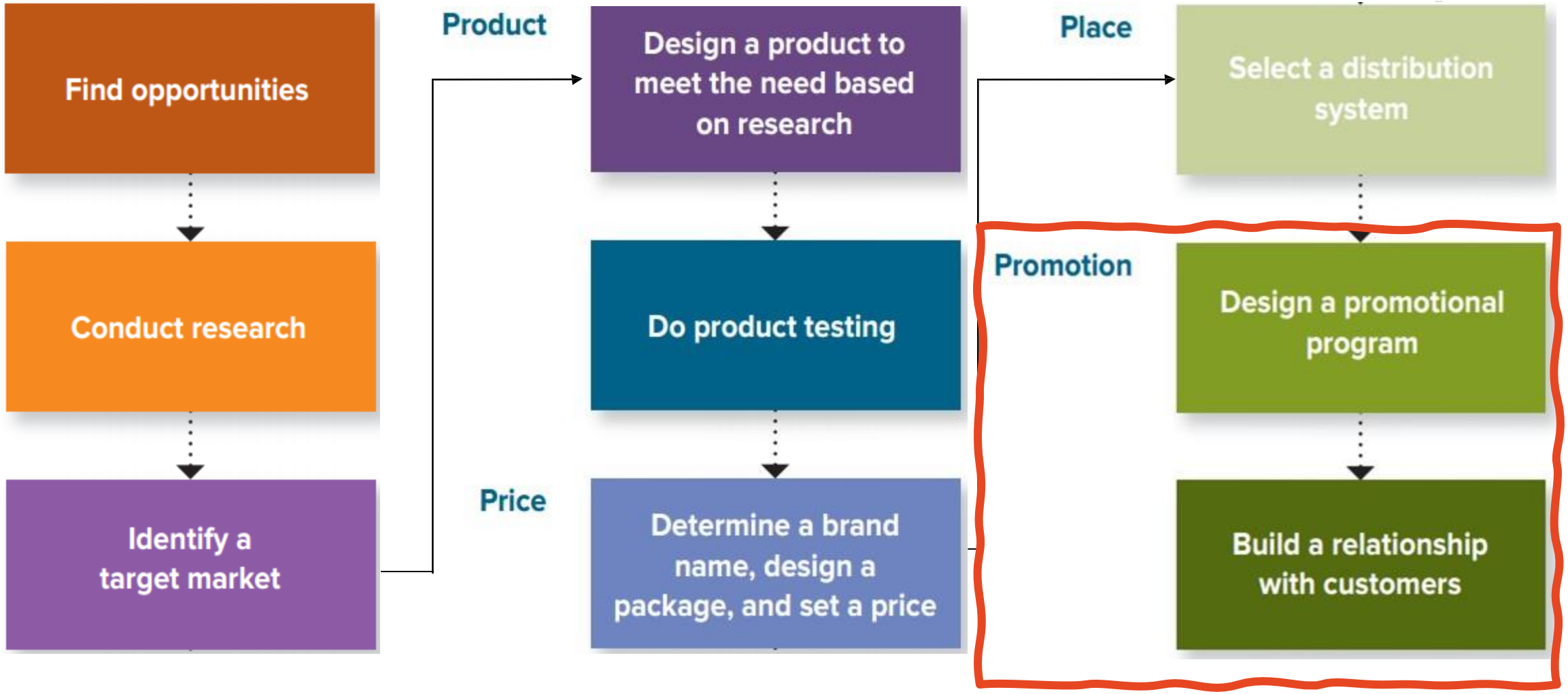
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10

Using Effective Promotion



The Marketing Process With The Four Ps



Learning Objectives

PART 1. Identify the new and traditional tools that make up the **promotion mix.**

PART 2. Contrast the **advantages and disadvantages** of various **advertising** media, including the Internet and social media.

PART 3. Illustrate the steps **of the B2B and B2C selling processes.**

PART 4. Describe the role of the **public relations department and** show **how publicity fits** in that role.

PART 5. Assess **the effectiveness** of various forms **of sales promotion**, including sampling.

PART 6. Show how **word of mouth, viral marketing, blogging, podcasting, e-mail marketing**, and **mobile marketing work.**

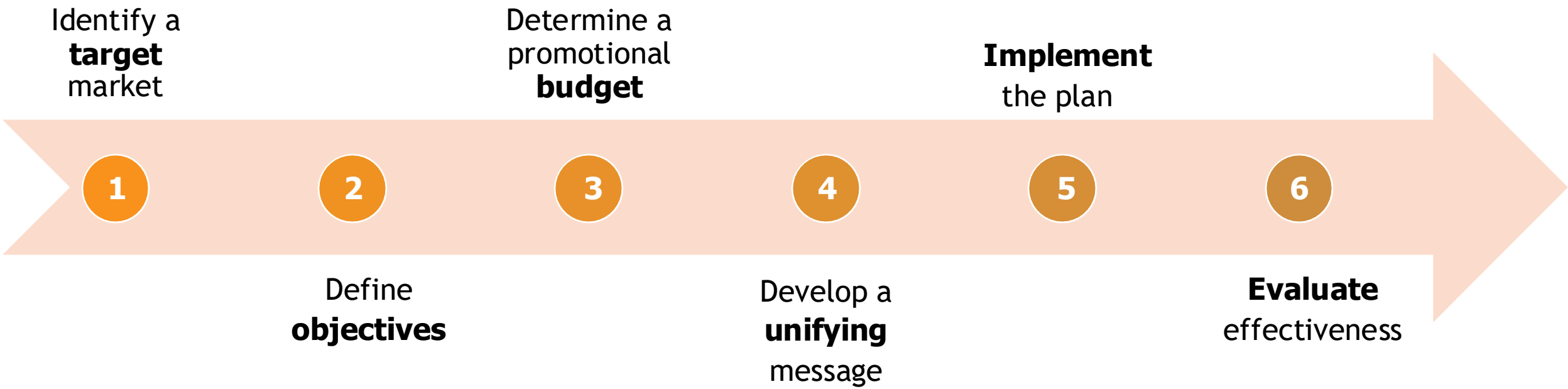
Promotion in An Organization

- **Promotion Mix --** *The combination of promotional tools an organization uses. The traditional mix includes:*



- **Integrated Marketing Communication (IMC) --** *Combines the promotional tools into one comprehensive strategy. IMC is used to:*
  - Create a positive brand image.
  - Meet the needs of consumers.
  - Meet the strategic marketing and promotional goals of the firm.

Six Steps in A Promotional Campaign

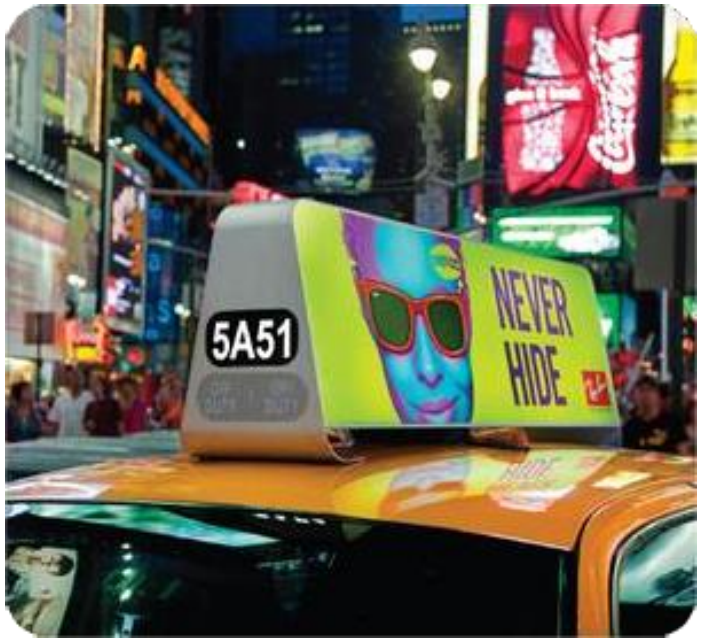


Advertising : Comparing Advertising Media

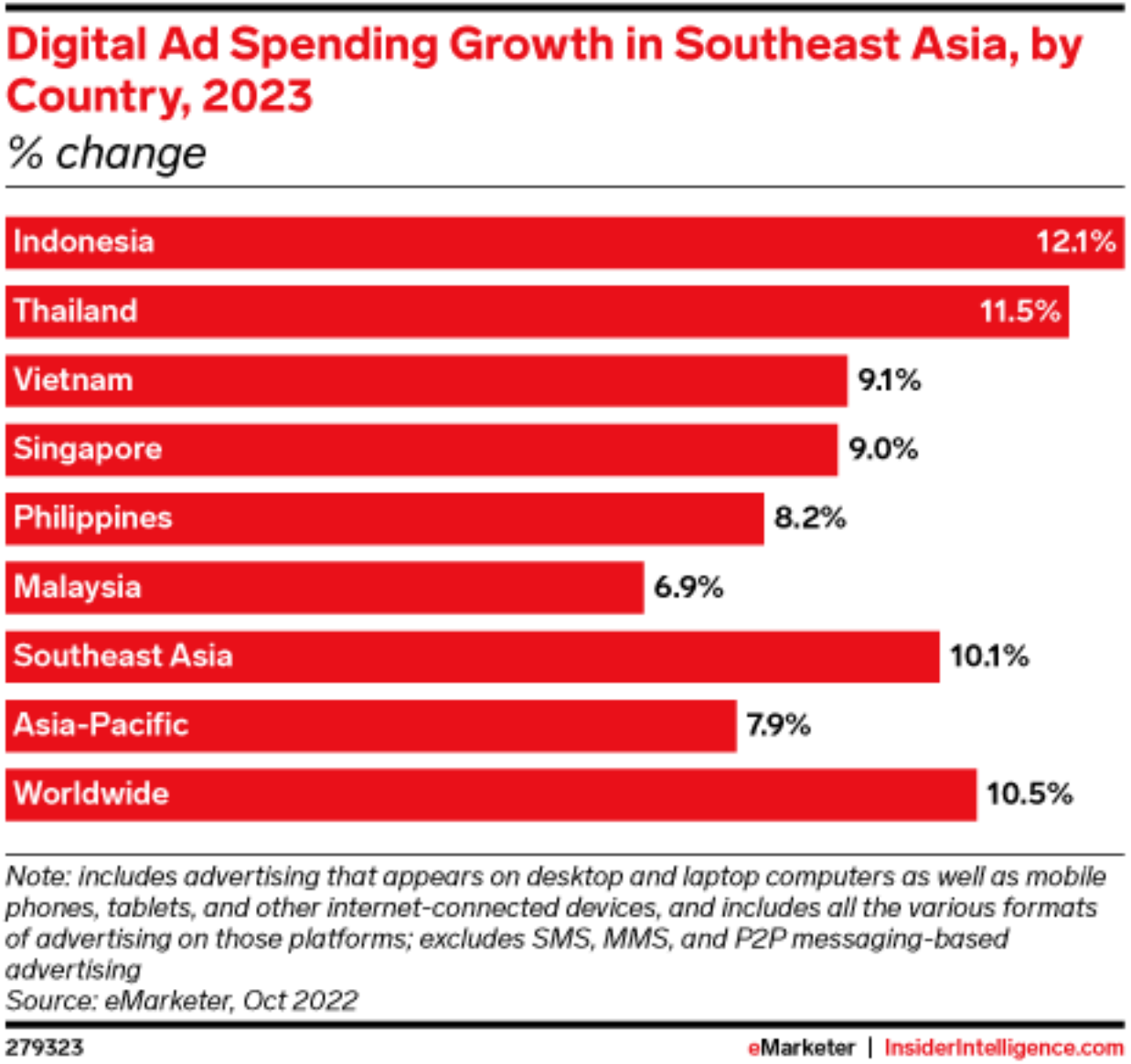
- **Advertising --** *Paid, non-personal communication through various media by organizations and individuals who are in some way identified in the message.*

- **Major goals of advertising:**





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Source: https://www.emarketer.com/content/southeast-asia-digital-ad-spending-2023

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Major Categories of Advertising

- **Retail advertising**—advertising to consumers by various retail stores such as supermarkets and shoe stores.
- **Trade advertising**—advertising to wholesalers and retailers by manufacturers to encourage them to carry their products.
- **Business-to-business advertising**—advertising from manufacturers to other manufacturers. A firm selling motors to auto companies would use business-to-business advertising.
- **Institutional advertising**—advertising designed to create an attractive image for an organization rather than for a product. "I Love Indonesia" is institutional campaigns by government agencies.
- **Product advertising**—advertising for a good or service to create interest among consumer, commercial, and industrial buyers.
- **Advocacy advertising**—advertising that supports a particular view of an issue (e.g., an ad against nuclear power plants). Such advertising is also known as cause advertising.
- **Comparison advertising**—advertising that compares competitive products. For example, an ad that compares two different cold care products' speed and benefits is a comparative ad.

Popular Advertising Media (1/2)

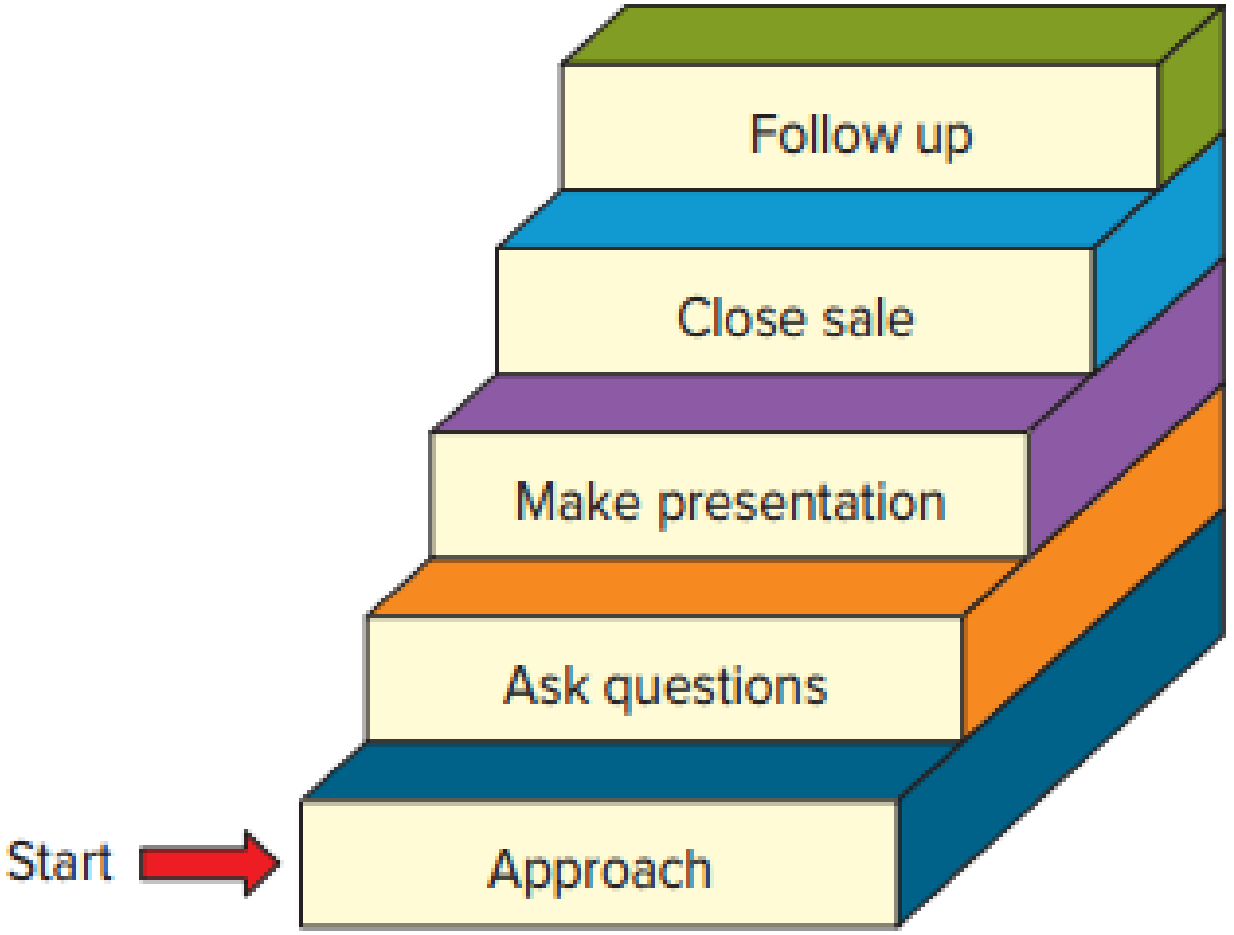
- **Product Placement --** *Advertisers pay to put their products into TV shows and movies where the audience will see them.*
  - TV advertising is still the dominant media.
  - Digital Video Recorders (DVRs) challenge TV advertising because viewers can skip ads.
- **Infomercial --** *A full length TV program devoted exclusively to promote a particular product.*



Popular Advertising Media (2/2)

- **Online ads –** It attempts to get potential customers to a web site to learn about a product.
  - **Interactive Promotion --** *Allows marketers to open a dialogue between buyers and sellers and let them work together to create a beneficial exchange.*
- **Social Media ads -** The company can measure how many times a post is viewed, how many times it is shared, and what the user response is.
  - to test ads and other promotions before bringing them to traditional media, like TV, and to learn why people like and dislike messages.
- **Global Advertising -** Requires marketers to develop a single product and promotional strategy to implement worldwide.
  - Problems can arise in global markets with using one advertising campaign in all countries - especially bad translations.

Steps in the B2C Selling Process



Steps in the B2B Selling Process

1. Prospect and qualify
   - **Prospect --** *A customer who meets the qualifying criteria.*
   - **Prospecting --** *Researching potential buyers and choosing those most likely to buy.*
   - **Qualifying --** *Making sure customers have a need for a product, the authority to buy and the willingness to listen to a sales message.*
2. Pre-approach
3. Approach
4. Make a presentation
5. Answer objections
6. Close the sale
   - **Trial Close --** *A statement or question that moves the process toward the purchase.*
7. Follow up

Using Public Relations In Promotion

- **Public Relations (PR) --** *Evaluates public attitudes, changes policies and procedures in response to the public, and executes a program of action and information to earn public understanding and acceptance.*

- **3 steps of a good PR program:**

Listen to the public → Change policies and procedures → Inform people you're responsive to their needs

Publicity

Publicity -- *Any information about an individual, product or organization that's distributed to the public through the media and is not paid for or controlled by the seller.*

Advantages of Publicity

- Free
- Reaches people who would not look at an advertisement
- More believable than advertising

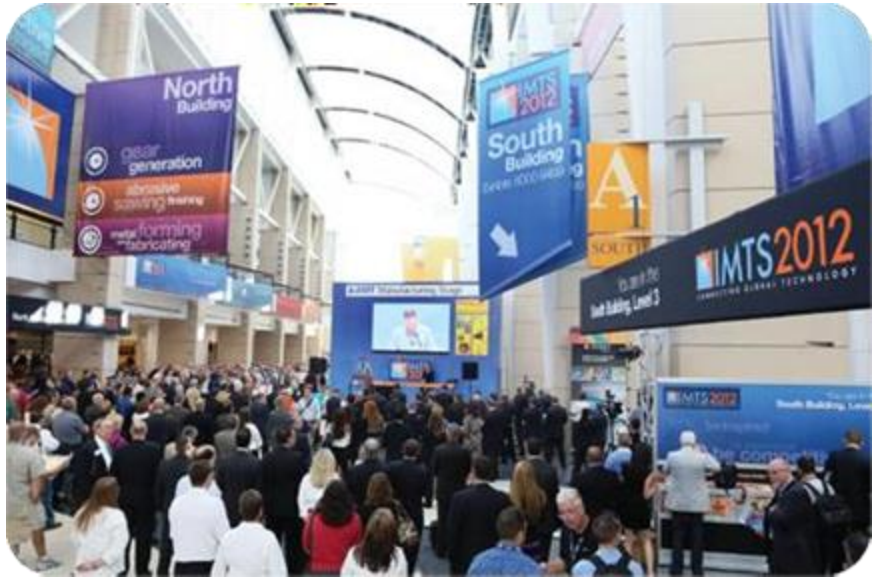
Disadvantages of Publicity

- No control over whether the media will use a story or when they may release it.
- It can be good or bad.
- Once a story has been run, it is not likely to run again.

"Next to doing the right thing, the most important thing is to ***let people know*** that you are doing the right thing."

Sales Promotions

- **Sales Promotion --** *The promotional tool that stimulates consumer purchasing and dealer interest by means of short-term activities.*
- Categories of Sales Promotions:
  1. B2B Sales Promotions
  2. Consumer Sales Promotions (B2C)



Sales Promotion Techniques

 B2B	• Trade shows • Portfolios for salespeople • Deals (price reductions)	• Catalogs • Conventions
 B2C	• Coupons • Cents-off promotions • Sampling • Premiums • Sweepstakes • Contests	• Bonuses (buy one, get one free) • Catalogs • Demonstrations • Special events • Lotteries • In-store displays

Using Word-of-mouth Promotion

- **Word-of-Mouth Promotion --** People tell others about products they have purchased.

- Word-of-Mouth is important for products like:
  - Restaurants
  - Daycare and Eldercare
  - Car Repair Shops
  - Hair Stylists
  - Hotels



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Emerging Promotional Tools

- **Viral Marketing --** *Paying customers to say positive things on the Internet or setting up multiple selling schemes whereby consumers get commissions.*

- People who promote through viral marketing often receive SWAG which can include free tickets, shirts, and other merchandise.



Social Network, Blogs, Podcasts, And E-mails

- **Social Network -** One of the greatest advantages of social media platforms is that they offer easier two-way communication between businesses and customers
- **Blogs** are a great way to interact with customers and improve the company's website ranking.
- **Podcasting --** *A way to distribute multimedia files via the Internet.*
- **Email promotions** increase brand awareness among commercial suppliers.
- **Mobile Media** - Marketers make use of smartphones to text customers about product offers and other company information.

Managing the Promotion Mix: Putting It All Together

- Each **target group** calls for a separate promotion mix.
- **Advertising** is most efficient for reaching large groups of consumers whose members share similar traits.
- **Personal selling** is best for selling to large organizations.
- To motivate people to buy now rather than later, marketers use **sales promotions** like sampling, coupons, discounts, special displays, and premiums.
- **Publicity** supports other efforts and can create a good impression among all consumers.
- **Word of mouth** is often the most powerful promotional tool. Generate it by listening, being responsive, and creating an impression worth passing on to others that you spread through blogging, podcasting, and social media posting

Promotional Strategy

- **Push Strategy --** *Producers use advertising, personal selling, sales promotion, and other tools to get their products stocked on shelves.*

- **Pull Strategy --** *Directs heavy advertising and sales promotions efforts towards consumers and gets the public to request their products from retailers.*

Referensi

- Nickels, W. G., McHugh, J. M., & McHugh, S. M. (2018). Understanding business(12th edition). Boston: McGraw-Hill/Irwin